

Shaila Reddy
FORM TP 22240



TEST CODE **004372**

MAY/JUNE 2002

CARIBBEAN EXAMINATIONS COUNCIL

ADVANCED PROFICIENCY EXAMINATION

MANAGEMENT OF BUSINESS

UNIT 1 – PAPER 02

$2\frac{1}{2}$ hours

03 JUNE 2002 (a.m.)

INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from **EACH** section.
4. Each question is worth a total of **25 marks**.
5. The overall total for Paper 02 is **75 marks**.

SECTION A

MODULE 1

BUSINESS AND ITS ENVIRONMENT

Answer ONE question from this section.

1. Royal Enterprise is a partnership with nine members. The business produces footwear for the local market. The partners are contemplating the formation of a public limited company.
- (a) Explain to the partners FIVE **major differences** between a partnership and a public limited company. [15 marks]
- (b) How might a change in the economic system of the country, from one which is mixed to one based entirely on market forces, affect a firm such as Royal Enterprise? [10 marks]

Total 25 marks

2. Prism Construction, a medium sized civil construction firm in a Caribbean territory has been offered two contracts to construct roads in two different Caribbean territories simultaneously. It is, however, unable to execute both projects at the same time and must choose ONE of the two projects. How might management of Prism Construction use the rational decision-making process to decide which of the two projects it should choose? Total 25 marks

SECTION B

MODULE 2

MANAGEMENT OF PEOPLE

Answer ONE question from this section.

3. (a) Discuss the MAIN principles of Frederick Taylor's Scientific Management theory. [10 marks]
- (b) Explain how EACH of the principles you identified in (a) might be of assistance to a manager of a garment manufacturing company. [15 marks]
- Total 25 marks
4. The problem of conflict at the workplace is a cause of concern in some Caribbean territories. With reference to this statement:
- (a) Discuss FIVE likely causes of conflict in the workplace. [15 marks]
- (b) Outline FIVE techniques that you as a manager would use to reduce conflict. [10 marks]

Total 25 marks

GO ON TO THE NEXT PAGE



SECTION C

MODULE 3

BUSINESS FINANCE AND ACCOUNTING

Answer ONE question from this section.

5. Providence Company Ltd is about to choose between three projects.
 Project A is for the purchase of a new machine
 Project B is for the introduction of a new product
 Project C is for the promotional campaign for an existing project.
 The cost and expected returns for each project are as follows:

	Project A	Project B	Project C			
Initial cash outlay						
Year 0	\$50 000	\$50 000	\$50 000			
Cash Inflow						
Year 1	\$ 5 000	\$20 000	\$15 000			
Year 2	\$10 000	\$15 000	\$15 000			
Year 3	\$15 000	\$15 000	\$15 000			
Year 4	\$15 000	\$10 000	\$15 000			
Year 5	\$15 000		\$10 000			
Year 6	\$15 000		\$ 5 000			
Present value of \$1 received at the end of a number of years at 10%						
After no. of year	1	2	3	4	5	6
Pv of \$1	\$0.91	\$0.83	\$0.75	\$0.68	\$0.62	\$0.56

- (a) What is the Net Cash Flow for Project C? [3 marks]
- (b) (i) Calculate the Net Present Value of EACH project using the discounted cash flow method at a rate of 10 % p.a. [15 marks]
- (ii) On the basis of your calculations in (b) (i), which project should be selected? [1 mark]
- (c) Assess the suitability of the discounted cash flow method of investment appraisal as compared with the pay-back method. [6 marks]

Total 25 marks

6. (a) Distinguish clearly between an Income Statement and a Balance Sheet. [12 marks]
- (a) Explain THREE ways in which EACH of these financial statements may be of use to managers. [13 marks]

Total 25 marks

END OF TEST